INITIATION OF COVERAGE · US SEMICONDUCTORS

NVIDIA Corporation

NVDA US · NASDAQ · 23 October 2026

The market underprices how long growth lasts

We rate NVDA BUY with a 12-month price target of $285. The target implies 35.1% upside from the $210.96 close on 23 October 2026, or 35.6% including the $1.00 dividend. It rests on a DCF rolled forward twelve months.

Growth fades gradually in our model, not off a cliff. Revenue growth slows from 87% in FY27 to 12% by FY31, then steps down to 3% over FY32 to FY36 while EBIT margin falls to 51.5%. We discount cash mid-year and use a Blume-adjusted beta of 1.81x, giving an 11.7% WACC.

The rating holds on conservative inputs, but only just. With the raw beta, the $245 target implies 16.6% total return, barely above our 15% BUY threshold. In 10,000 Monte Carlo runs, 92% of outcomes put the 12-month value above today's price.

Growth guidance remains exceptional. Q2 FY27 revenue rose 106% to $96.2bn. Management guides Q3 to $108bn, plus or minus 2%, at a 74.0% gross margin, and expects FY28 revenue to grow about 70%.

The share price assumes a sharp slowdown. At $210.96, the market is discounting a 13.5% WACC, or FY29 to FY31 revenue growth of 14.9% a year against our 25.1%.

Risks and catalyst. Custom silicon, customer returns on AI capex, faster settlement of supply obligations ($92bn due in H2 FY27, $279bn in total) and export policy. Q3 FY27 results are due on 17 November 2026.

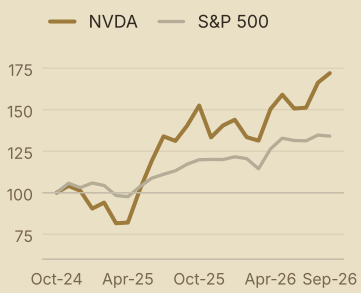
BUY

Price target (12M)	**$285**
Price, 23 Oct 2026	**$210.96**
Price upside	**35.1%**
Expected total return	**35.6%**
DCF value today	**$256.08**

KEY DATA

Market cap (USD bn)	**5,104**
Diluted shares (bn)	**24.2**
Dividend, yield	**$1.00, 0.5%**
Cash and securities*	**$99.4bn**
Total debt*	**$33.4bn**
Fiscal year end	**Late January**

PRICE PERFORMANCE, REBASED



Month-end closes, Oct-24 to Sep-26. Source: Yahoo Finance, FRED. *At 26 July 2026.

Exhibit 1 Financial summary, fiscal year ends late January

USD bn	FY25A	FY26A	FY27E	FY28E	FY29E
Revenue	**130.5**	**215.9**	**404.6**	**673.5**	**942.8**
Revenue growth (%)	114.2	65.5	87.4	66.4	40.0
Gross margin (%)	75.0	71.1	74.4	73.5	72.5
EBITDA	83.3	133.2	270.7	433.7	594.6
Net income	72.9	120.1	241.9	353.2	483.4
Diluted EPS (USD)	2.94	4.90	10.00	14.60	19.98
P/E (x)	71.8	43.1	21.1	14.5	10.6
EV/EBITDA (x)	59.9	37.4	18.4	11.5	8.4
Unlevered FCF to market cap (%)	1.2	1.8	3.5	5.9	8.1

Source: Company reports, analyst estimates. FY27E onward EPS uses net income over 24.195bn diluted-equivalent shares, FY27E includes $23.7bn of H1 equity investment gains. FY28E growth is 70% on a 52-week FY27 base. Multiples use the $210.96 close and an EV of $4,987bn (market value less $117.6bn net financial assets).

Exhibit 2 Scenario values

12-month value	Bear	Base	Bull	Probability-weighted
Value per share (USD)	**182**	**285**	**354**	**276**
Price return from $210.96 (%)	-13.9	+34.9	+67.8	+30.9
Probability (%)	25	50	25	

Source: Analyst estimates. Scenario assumptions are in section 11. Returns use unrounded values, so the base case uses $284.50.

01 INVESTMENT THESIS

The debate is how long growth lasts. The price assumes too little of it

Why we are buyers

We forecast revenue of $1,320bn by FY31 with gross margin fading to 70.5%. At $210.96, the market prices revenue growth of about 15% a year over FY29 to FY31, against our 25%. Even with the raw regression beta and a 13.1% WACC, our forecast supports $245.

The platform supports pricing

NVIDIA sells a full compute system: accelerators, networking, rack integration and the CUDA software stack. Customers running production workloads on that stack face real switching costs in code and in deployment time. This is the basis for today's margins. It will not protect them forever against custom silicon at the largest buyers, which is why we keep the margin fade in every scenario.

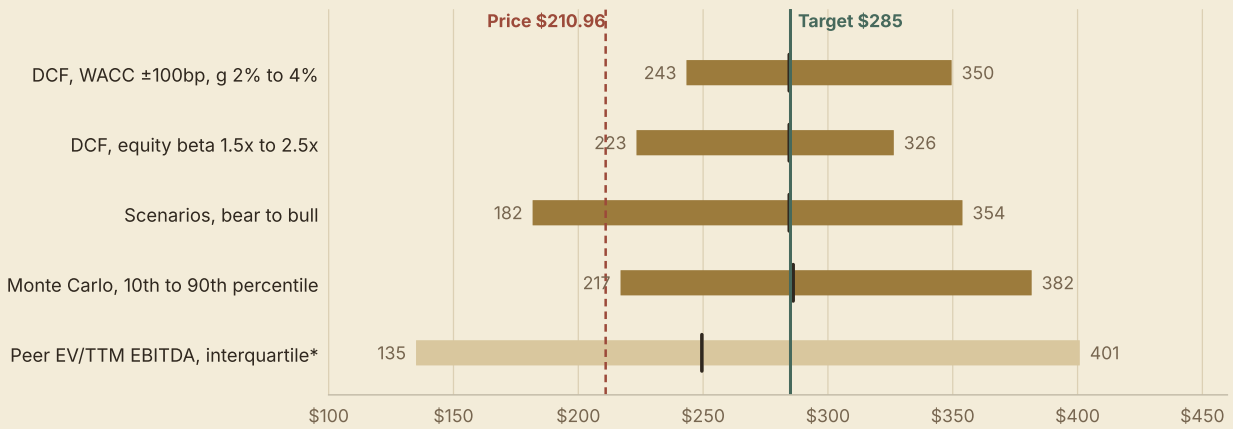
Cash conversion is the watch point

H1 FY27 operating cash flow of $74.4bn equalled 63% of net income. Part of the gap is $23.7bn of non-cash investment gains and part is working capital built ahead of the Vera Rubin launch. We value operations and financial investments separately and forecast no further investment gains.

What would make us wrong

A clear cut to hyperscaler capex plans, gross margin falling short of our 73.5% FY28 assumption, or supply obligations settling faster than inventory turns. Any of these would push us toward our bear case of $182.

Exhibit 3 12-month value per share across methods



Source: Analyst estimates. Dark ticks mark the base case or median. *Peer range uses current trailing EBITDA for eight US semiconductor peers at 23 October 2026 closes and is shown on a current, not 12-month, basis.

Reading the chart. Every DCF-based range sits mostly above the share price. The peer range is wide because it mixes memory, analog and custom-silicon businesses at different points in their cycles, so we use it only as a cross-check.

What supports the BUY

- Q3 guidance of $108bn implies 12% sequential growth.
- Management expects FY28 revenue to grow about 70%.
- Gross margin is guided at 74.0% through the Rubin launch.
- The price implies FY29 to FY31 growth of 15% a year against our 25%.

What could go wrong

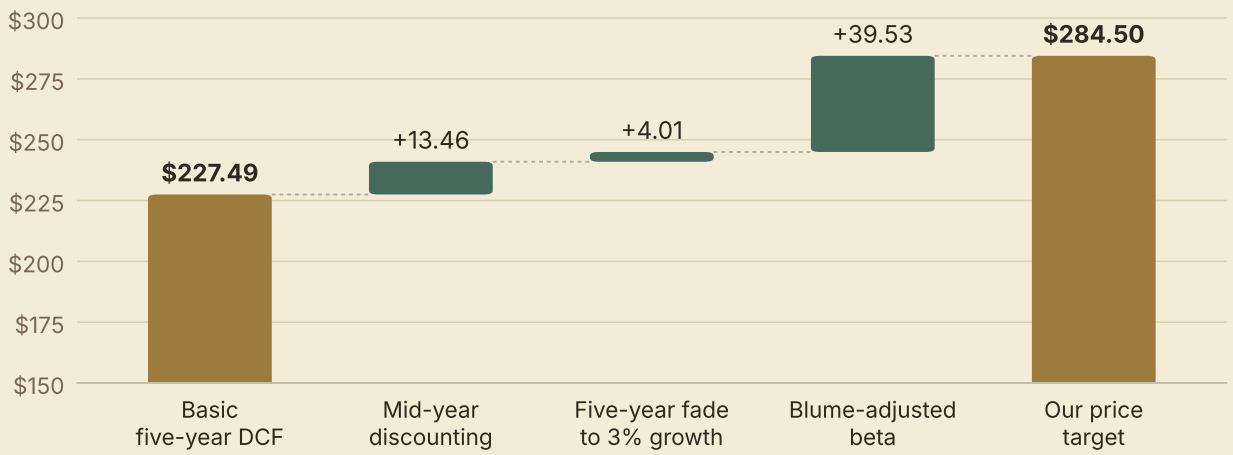
- Custom silicon could pull the margin fade forward.
- $279bn of supply commitments, $92bn of it due in H2 FY27.
- Hyperscale and ACIE both depend on AI infrastructure budgets.
- The raw 2.22x beta alone cuts the target to $245.

02 VALUATION APPROACH

Three method choices take a basic DCF from $227 to our $285 target

A basic DCF that discounts at year-end, stops at FY31 and uses the raw regression beta gives $227 in twelve months. Each of our three choices below is standard practice, and we show its effect separately so readers can apply their own view.

Exhibit 4 From a basic five-year DCF to our price target, USD per share



Source: Analyst estimates. Cumulative steps, each applied on top of the previous one. Axis starts at $150.

Exhibit 5 Method choices and their effect on the 12-month value

Choice	Basic five-year DCF	Our approach	Effect
Discounting	Cash flows at fiscal year-end	Mid-year convention, since cash arrives through the year	+$13.46
Horizon	12% growth in FY31, then 3% forever. Terminal value 7.3x EBITDA	Five-year fade to 3%, EBIT margin down 1.5pp a year to 51.5%, reinvestment at a 50% return on new capital	+$4.01
Equity beta	Raw 60-month regression, 2.22x	Blume-adjusted 1.81x, WACC 11.67%	+$39.53
Total	**$227.49 per share**	**$284.50, rounded to $285**	**+$57.01**

Source: Analyst estimates. Both columns share the same operating forecast, 5.00% risk-free rate, 3.70% equity risk premium, 3% perpetual growth, 50% terminal ROIC and 25% haircut on private investments.

Discounting and horizon

NVIDIA earns cash through the year, not on the last day of it. A business still growing 12% also does not drop to 3% overnight, and the 7.3x terminal EBITDA multiple that a five-year cut-off implies is too low for that. Our fade keeps margins falling every year, so it adds only $4 per share.

The beta choice

The raw beta of 2.22x has a standard error of 0.30, so its 95% range runs from 1.62x to 2.81x. Several data providers, Bloomberg among them, shrink betas toward 1.0 because measured betas mean-revert. We follow that convention. The raw beta gives $245, a BUY by a thin margin.

Other modelling conventions. We retire the 0.24bn shares that $53.7bn of buybacks would buy before the target date, net of 0.02bn issued to employees. FY27 is a 53-week year, so we apply FY28 growth of 70% to a 52-week base.

03 BUSINESS MIX AND DEMAND

Data Center is 92.5% of revenue, and customer budgets keep rising

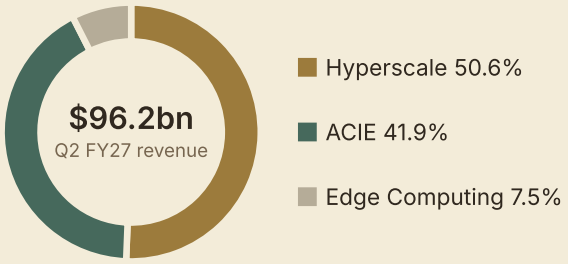
NVIDIA now reports Data Center revenue in two customer groups: Hyperscale, and AI Clouds, Industrial and Enterprise (ACIE). Edge Computing covers the rest. The new categories do not map onto the old Gaming and Automotive series, so we do not splice the histories.

Exhibit 6 Revenue by platform

USD bn	Q2 FY27A	Share (%)	H1 FY27A	Share (%)
Hyperscale	48.7	50.6	n.a.	n.a.
AI Clouds, Industrial and Enterprise	40.3	41.9	n.a.	n.a.
Data Center	**89.0**	**92.5**	**164.3**	**92.4**
Edge Computing	7.2	7.5	13.6	7.6
Total revenue	**96.2**	**100.0**	**177.8**	**100.0**

Source: NVIDIA Q2 FY27 Form 10-Q. The H1 split of Data Center between Hyperscale and ACIE is not used in this report.

Exhibit 7 Q2 FY27 revenue by platform



Source: NVIDIA Q2 FY27 Form 10-Q and CFO commentary.

$89.0bn
Data Center revenue, Q2 FY27
92.5% of total, 92.4% in H1 FY27

$48.7bn
Hyperscale
50.6% of revenue

$40.3bn
ACIE
41.9% of revenue

$7.2bn
Edge Computing
7.5% of revenue

Exhibit 8 Latest capex outlook or run rate, USD bn



Source: Company reports. Shaded bands are guidance ranges. Microsoft's fiscal year ends June 2027. Amazon is trailing purchases of property and equipment.

What customers said before our cutoff

Meta, 21 October: CY26 capex of $135bn to $145bn, including leases.
Alphabet, 22 July: CY26 capex raised to $195bn to $205bn from $180bn to $190bn.
Microsoft, 29 July: about $175bn of capex in fiscal 2027.
Amazon, 30 July: $173bn of capex over the twelve months to June, with Q2 AWS sales of $42.2bn, up 37%.

Why we do not map capex straight into revenue

These budgets also pay for buildings, power, CPUs, storage and in-house accelerators, and customers pay on a different schedule from NVIDIA's revenue recognition. FY28 growth in our model follows management's preliminary 70% expectation, which the CFO tied to available supply. A visible cut to any of these four budgets would put that number at risk first.

04 COMPETITION AND EXECUTION

High switching costs, but we still model steady margin pressure

Customers buy throughput from a working system, not a chip. A cheaper accelerator does not cover the cost of porting software, requalifying clusters or delaying a deployment. The moat rests on software compatibility, deployment maturity and how tightly compute is coupled with networking.

Exhibit 9 Value sensitivity to the EBIT margin

EBIT margin change from FY29	-4pp	-2pp	Base	+2pp	+4pp
12-month value per share (USD)	**265**	**275**	**285**	**294**	**304**
Change versus base (USD)	-19	-10	–	+10	+19

Source: Analyst estimates. The margin change phases in over FY29 to FY31 and carries through the FY32 to FY36 fade.

1 CUDA and libraries

Why it matters. Existing code and developer familiarity slow migration.

In our model. Supports near-term demand.

2 Rack and networking

Why it matters. System throughput and reliability set useful compute.

In our model. Supports platform revenue, with execution risk.

3 Merchant accelerators

Why it matters. A second source improves price competition.

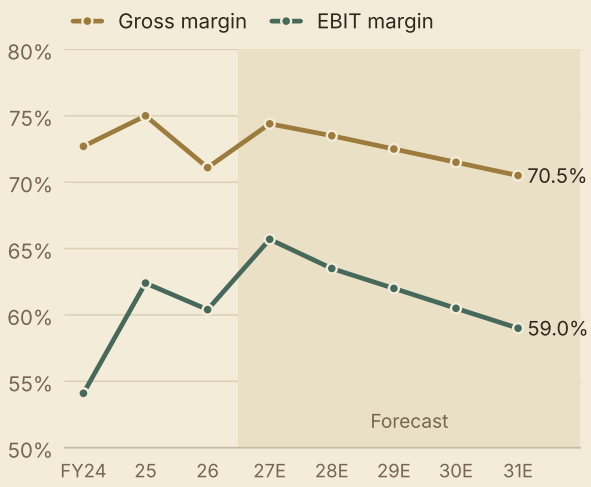
In our model. Gross margin fades after FY27.

4 Customer-designed silicon

Why it matters. Large buyers can optimise stable workloads.

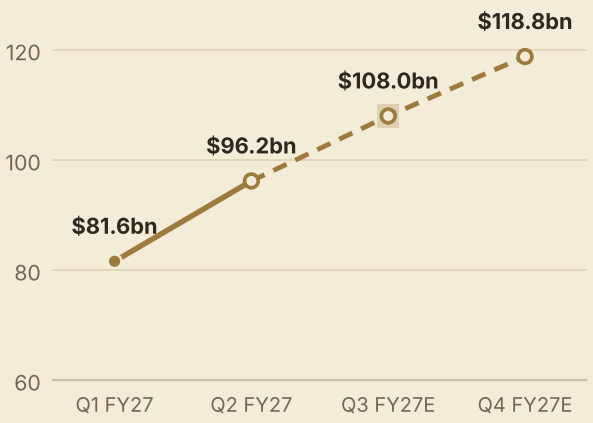
In our model. Margin fade continues through FY36.

Exhibit 10 Gross and EBIT margin, FY24A to FY31E



Source: Company reports, analyst estimates.

Exhibit 11 Quarterly revenue, USD bn



Source: Company reports. Q3 at the guidance midpoint (plus or minus 2%), Q4 is our estimate for a 14-week quarter.

Why we compress margins

We take gross margin from 74.4% in FY27 to 70.5% in FY31 and lift operating costs to 11.5% of revenue. EBIT margin falls from 65.7% to 59.0%, and our fade period keeps it falling to 51.5% by FY36. Each 100bp of FY29 gross margin is worth about $9.4bn of EBIT.

Execution checkpoints

Inventory rose to $31.6bn in Q2 as NVIDIA prepared to introduce Vera Rubin in the third quarter. What matters for value is how fast that build turns into accepted installations, revenue and cash. A transition problem that left committed purchases as excess stock would hit margin and cash in the same quarter.

05 REVENUE RISK

Export policy and customer concentration limit visibility

China is excluded from the Q3 outlook

NVIDIA's Q3 guidance assumes no Data Center compute revenue from China. We add nothing for a reopening that has not been announced. Export permissions, product restrictions and the commercial response all affect both market access and the use of committed supply.

Direct customers are not end users

Direct customers include system vendors and other intermediaries, so invoice concentration does not reveal end-user concentration. We do not assign market shares the filings do not support.

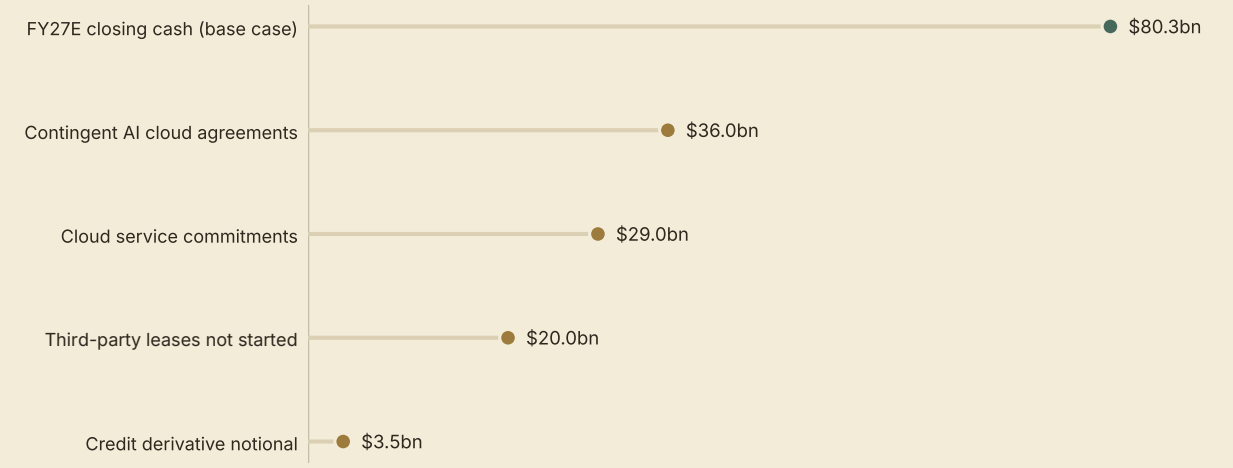
Ecosystem financing adds a second exposure

Equity investments, credit support and contingent cloud arrangements tie part of the balance sheet to the same AI spending cycle that drives product sales. The accounting sits outside revenue, but the economic exposure moves together.

How this enters the valuation

We haircut private investments by 25% and hold back a $22.4bn operating cash reserve. We do not treat the commitments below as funded debt, but we compare them with cash because they would compete for it in a downturn. The same applies to the $105bn SB Energy guarantee signed in August.

Exhibit 12 Off-balance-sheet exposures at 26 July 2026 against FY27E closing cash, USD bn



Source: NVIDIA Q2 FY27 Form 10-Q, analyst estimates. Exposures are partly contingent and not additive. Not shown: NVIDIA's own uncommenced leases of $25bn, and guarantees signed in August for SB Energy's Ohio campus, capped at $105bn and phased in from FY29.

$29.0bn
Cloud service commitments
Purchase commitments for cloud capacity

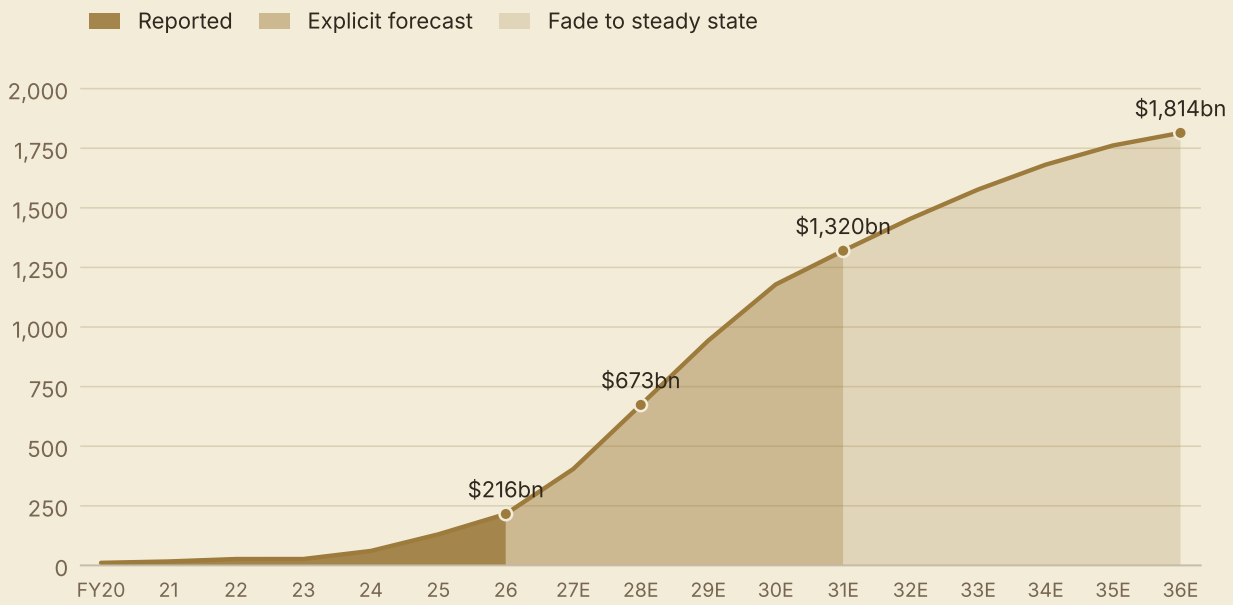
$36.0bn
Contingent AI cloud agreements
Depend on future events

$20.0bn
Third-party data center leases
Not started, to be reassigned

06 FINANCIAL RECORD

Revenue is up twentyfold since FY20, and EBITDA margins have held above 60% since FY25

Exhibit 13 Revenue, USD bn, FY20A to FY36E



Source: Company 10-K filings FY20 to FY26, analyst estimates thereafter. FY32 to FY36 is our fade period.

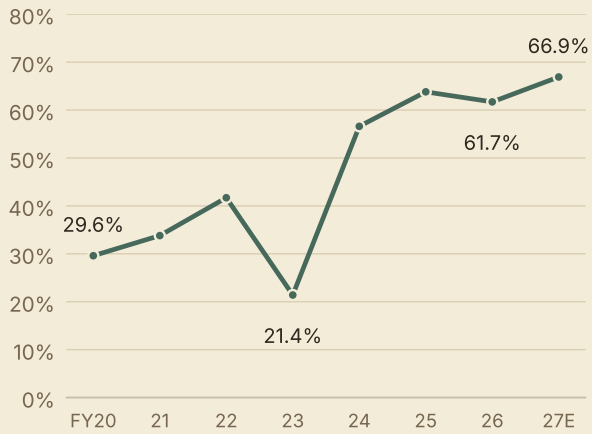
$215.9bn
FY26 revenue
Up 65.5% year on year

61.7%
FY26 EBITDA margin
From 29.6% in FY20

86%
FY26 cash conversion
Operating cash flow to net income

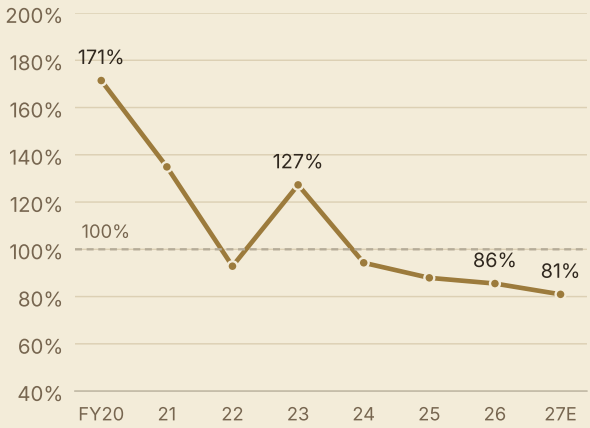
$404.6bn
FY27E revenue
Up 87.4%, analyst estimate

Exhibit 14 EBITDA margin



Source: Company reports, analyst estimate for FY27. EBITDA is operating income plus cash-flow D&A.

Exhibit 15 Operating cash flow as a share of net income



Source: Company reports, analyst estimate for FY27.

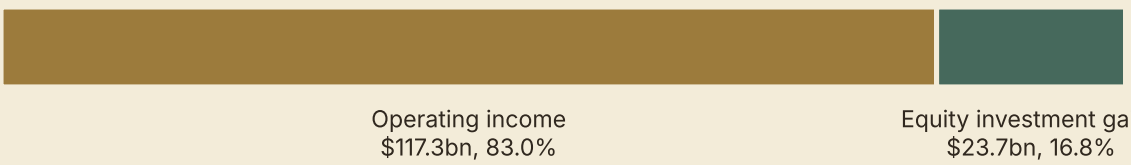
Earnings quality

Operating cash flow has trailed net income since FY24. Part of the gap is non-operating investment gains, $9.0bn of other income in FY26 and $23.7bn of equity gains in H1 FY27. The rest is working capital, as receivables and inventory have grown with revenue. We therefore judge the business on operating profit and unlevered free cash flow, and we keep the reported history exactly as filed.

07 EARNINGS QUALITY AND LIQUIDITY

Investment gains made up 17% of H1 pretax income

Exhibit 16 Composition of H1 FY27 pretax income of $141.4bn



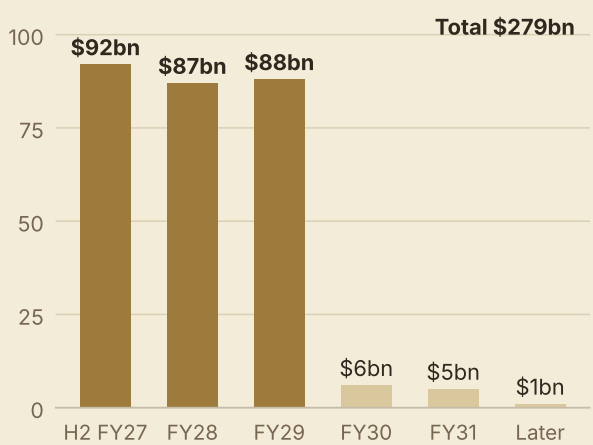
Source: NVIDIA Q2 FY27 Form 10-Q. Other is net interest income of $0.7bn less $0.3bn of other non-operating expense.

16.8%
Gains share of pretax income
$23.7bn of $141.4bn

63%
Cash flow to net income
$74.4bn against $118.0bn

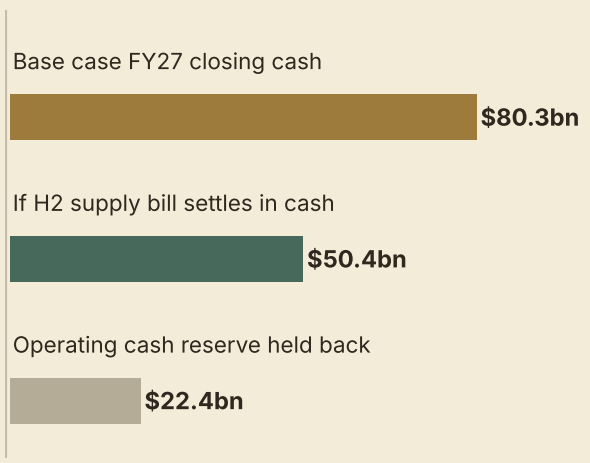
65.9%
H1 operating margin
$117.3bn on $177.8bn revenue

Exhibit 17 Supply and capacity commitments by fiscal year, USD bn



Source: NVIDIA Q2 FY27 Form 10-Q. Separately, equity investment commitments are $18bn in H2 FY27, $3bn in FY28 and $2bn in each of FY29 and FY30, and capex commitments $7bn and $1bn.

Exhibit 18 FY27E closing cash under a supply-payment stress, USD bn



Source: Analyst estimates. The stress assumes the full $92.0bn H2 supply obligation settles in cash, adding $29.9bn to the cash already in our forecast.

A timing test, not a solvency question

The filing does not disclose when the obligations settle in cash, so we avoid deducting them a second time from free cash flow. Even in the stress case, closing cash of $50.4bn is more than twice the $22.4bn reserve we hold back.

What we will watch in Q3

Prepaid supply balances, inventory days and cash used for financial investments. These tell us whether the Rubin build is turning into sales on schedule.

Exhibit 19 Balance sheet and cash flow snapshot

USD bn, 26 July 2026	Value	USD bn, H1 FY27	Value
Cash and cash equivalents	22.4	Operating cash flow	74.4
Marketable debt securities	34.1	Cash capex	(4.4)
Marketable equity securities	42.8	Share repurchases	(39.0)
Cash and securities	**99.4**	**Dividends**	**(6.3)**
Total debt	(33.4)	Inventory, 26 July 2026	31.6
Net cash and securities	**66.0**	**Supply commitments outstanding**	**279**

Source: NVIDIA Q2 FY27 Form 10-Q and CFO commentary.

08 OPERATING FORECAST

Growth fades from 87% in FY27 to the 3% perpetual rate by FY36

Exhibit 20 Explicit forecast

USD bn	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	**404.6**	**673.5**	**942.8**	**1,178.6**	**1,320.0**
Revenue growth (%)	87.4	66.4	40.0	25.0	12.0
Gross margin (%)	74.4	73.5	72.5	71.5	70.5
EBIT	265.9	427.6	584.6	713.0	778.8
EBIT margin (%)	65.7	63.5	62.0	60.5	59.0
NOPAT	221.2	350.7	473.5	570.4	615.2
Unlevered FCF	**177.8**	**301.6**	**413.0**	**512.1**	**572.1**

Source: Analyst estimates. FY27 combines reported H1 with Q3 guidance and our Q4 estimate. FY28 applies management's preliminary 70% growth to a 52-week FY27 base, which is 66.4% on the reported 53-week year.

Exhibit 21 Fade period to steady state

USD bn	FY32E	FY33E	FY34E	FY35E	FY36E
Revenue growth (%)	10.2	8.4	6.6	4.8	3.0
Revenue	1,454.6	1,576.8	1,680.9	1,761.6	1,814.4
EBIT margin (%)	57.5	56.0	54.5	53.0	51.5
NOPAT	660.8	697.6	723.7	737.6	738.2
Unlevered FCF	**549.8**	**605.5**	**654.2**	**693.3**	**693.9**

Source: Analyst estimates. Growth falls in equal steps from 12% to 3%. EBIT margin continues its FY27 to FY31 decline of 1.5pp a year. Reinvestment equals next year's growth divided by a 50% return on new capital. Tax at 21%.

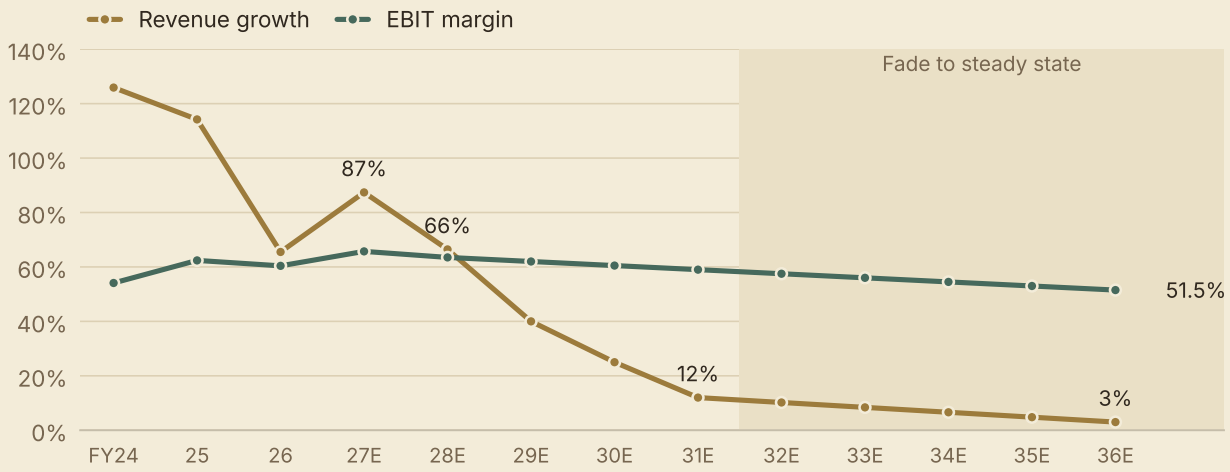
$10.00
FY27E diluted EPS
Up 104%, includes H1 investment gains

$14.60
FY28E diluted EPS
Up 46%

$19.98
FY29E diluted EPS
Up 37%

60%
EPS CAGR, FY26 to FY29E
From $4.90 in FY26

Exhibit 22 Revenue growth and EBIT margin, FY24A to FY36E



Source: Company reports, analyst estimates.

How the fade works. By FY36 the business earns a 51.5% EBIT margin, 14pp below FY27, and reinvests 6% of NOPAT to grow 3% a year. Free cash flow barely grows after FY35 because margins keep falling while growth slows.

09 COST OF CAPITAL

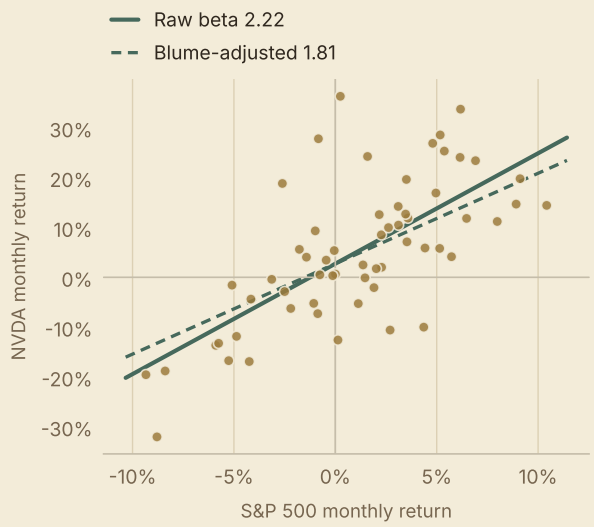
Beta is the single largest valuation input, and its estimate is noisy

Exhibit 23 WACC inputs

Parameter	Base case	Raw beta case	Basis
Risk-free rate	5.00%	5.00%	US 10-year Treasury, 23 October 2026
Equity beta	1.81x	2.22x	60 monthly returns against the S&P 500
Equity risk premium	3.70%	3.70%	Damodaran implied ERP, 1 October 2026
Cost of equity	**11.71%**	**13.20%**	**CAPM**
After-tax cost of debt	4.74%	4.74%	6.00% pre-tax, 21% tax
Debt weight	0.59%	0.59%	Market values
WACC	**11.67%**	**13.15%**	

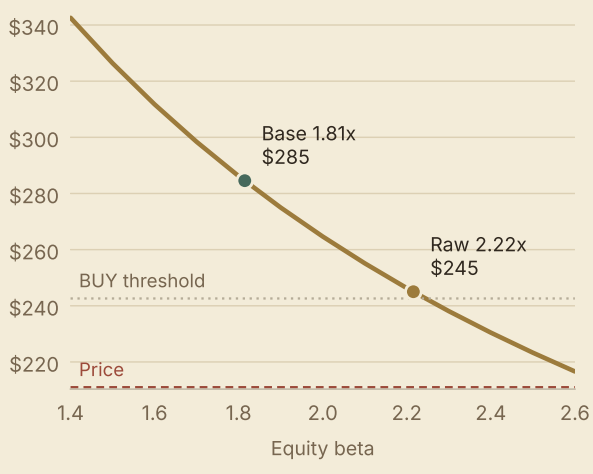
Source: US Treasury, NYU Stern (Damodaran), FRED, Yahoo Finance, analyst estimates. Blume adjustment is 0.67 times raw beta plus 0.33.

Exhibit 24 Monthly returns, Oct-21 to Sep-26



Source: FRED S&P 500, NVIDIA closes. n = 60, R-squared 0.48, standard error of beta 0.30.

Exhibit 25 12-month value per share against beta



Source: Analyst estimates. All other inputs at base case.

How precise is the beta?

Not very. With an R-squared of 0.48, the market explains less than half of NVIDIA's monthly moves. The 95% confidence range of 1.62x to 2.81x maps to 12-month values from about $204 to $309. We use the Blume-adjusted 1.81x, which sits inside that range and reflects the tendency of measured betas to move toward 1.0.

A high hurdle either way

Our base WACC of 11.67% is high for a company with negligible debt and $99bn of cash and securities. A move to the raw beta adds about 150bp to the WACC and lowers the target to $245.

Exhibit 26 12-month value per share and WACC by equity beta and equity risk premium

Beta \ ERP	3.2%	3.7%	4.2%	4.7%
1.50x	361 (9.8%)	326 (10.5%)	298 (11.3%)	274 (12.0%)
1.81x (base)	**316 (10.8%)**	**285 (11.7%)**	**259 (12.6%)**	**238 (13.5%)**
2.00x	295 (11.4%)	265 (12.4%)	240 (13.3%)	221 (14.3%)
2.22x (raw)	273 (12.0%)	245 (13.1%)	222 (14.2%)	204 (15.4%)

Source: Analyst estimates. Risk-free rate 5.00%. All other inputs at base case. WACC in brackets.

10 VALUATION

Our DCF is worth $256 per share today and $285 in twelve months

Exhibit 27 Enterprise to equity value today

USD bn	Value
PV of FY27 to FY31 cash flows	1,432.6
PV of FY32 to FY36 cash flows	1,513.5
PV of terminal value	3,132.2
Enterprise value	**6,078.2**
Financial assets, after reserve and haircut	149.0
Debt at fair value	(30.4)
Other claims	(1.0)
Equity value	**6,195.8**
Diluted-equivalent shares (bn)	24.195
Value per share today (USD)	**256.08**

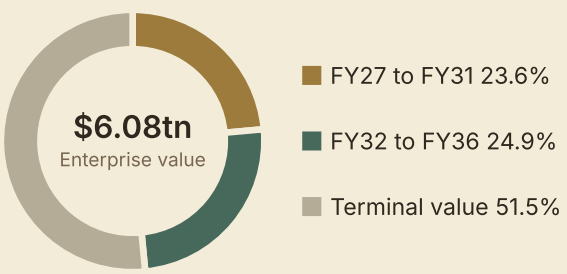
Source: Analyst estimates. WACC 11.67%, perpetual growth 3%, terminal ROIC 50%, mid-year convention.

Exhibit 28 Equity bridge at the 23 October 2027 target date

USD bn	Value
Enterprise value at 23 October 2027	**6,491.2**
Estimated cash	247.2
Debt securities and public equity	81.9
Private investments after 25% haircut	53.5
Operating cash reserve	(22.4)
Debt at fair value	(30.4)
Equity value at target date	**6,820.9**
Diluted-equivalent shares after buybacks (bn)	23.975
Value per share (USD)	284.50
Price target (USD)	**285**

Source: Analyst estimates. Cash and investment balances at the target date come from the NVDA financial model.

Exhibit 29 Where today's enterprise value comes from



Source: Analyst estimates. Cash flows discounted from mid-period. Terminal value is NOPAT times (1 + g) times (1 minus g divided by ROIC), over WACC minus g.

$285
12-month price target
Unrounded $284.50

35.1%
Price upside
From $210.96

35.6%
Expected total return
Including the $1.00 dividend

Terminal value carries half the weight

The terminal value falls to 51.5% of enterprise value compared with about 73% in a basic five-year DCF, because the fade period models the years of above-normal growth explicitly. Everything after FY31 is worth 8.8x FY31 EBITDA. That is a multiple on EBITDA five years out, so it is not directly comparable with the 29.4x trailing peer median, but it shows the terminal value is not aggressive.

What the target implies

At $285, NVIDIA would trade on 19.5x our FY28 EPS of $14.60, 14.3x FY29 and 15.0x FY28 EBITDA. That is undemanding for growth of about 70% and then 40%.

Rating framework

BUY: expected total return above 15%. HOLD: between minus 15% and plus 15%. SELL: below minus 15%. NVDA stays a BUY down to a 12-month value of about $242.

Exhibit 30 Implied multiples at today's price and at our target

Multiple	FY27E	FY28E	FY29E
P/E at $210.96 (x)	21.1	14.5	10.6
P/E at $285 target (x)	**28.5**	**19.5**	**14.3**
EV/EBITDA at $210.96 (x)	18.4	11.5	8.4
EV/EBITDA at $285 target (x)	**24.0**	**15.0**	**10.9**
Unlevered FCF to market cap at $210.96 (%)	3.5	5.9	8.1
Unlevered FCF to market cap at $285 (%)	2.6	4.4	6.0

Source: Analyst estimates. Target-date EV uses forecast financial assets at 23 October 2027. FY27E P/E includes $23.7bn of H1 investment gains.

11 SCENARIOS AND PROBABILITIES

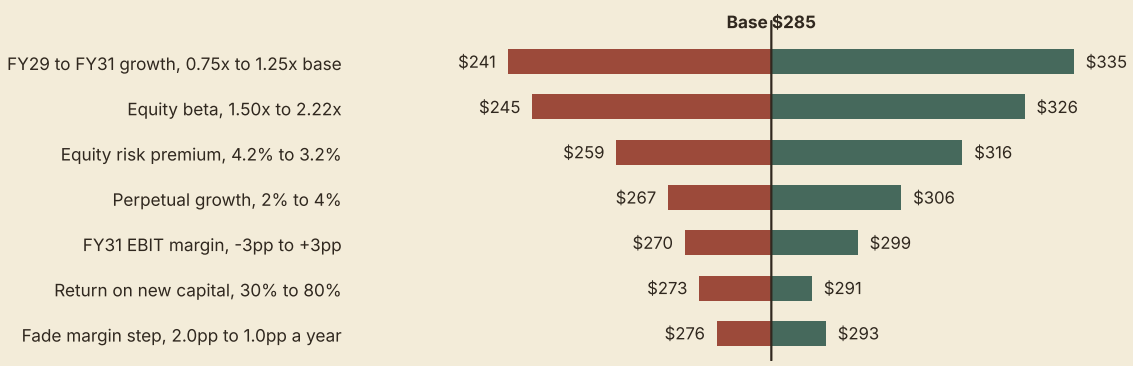
A probability-weighted value of $276 and a wide but favourable distribution

Exhibit 31 Scenario assumptions

	Bear	Base	Bull
Equity beta (WACC)	2.22x (13.1%)	1.81x (11.7%)	1.81x (11.7%)
FY29, FY30, FY31 growth	30%, 15%, 8%	40%, 25%, 12%	50%, 30%, 15%
FY31 EBIT margin	55.0%	59.0%	61.0%
Margin decline in fade, per year	2.0pp	1.5pp	1.0pp
FY31 revenue (USD bn)	1,087	1,320	1,510
12-month value (USD)	**182**	**285**	**354**
Weight	25%	50%	25%

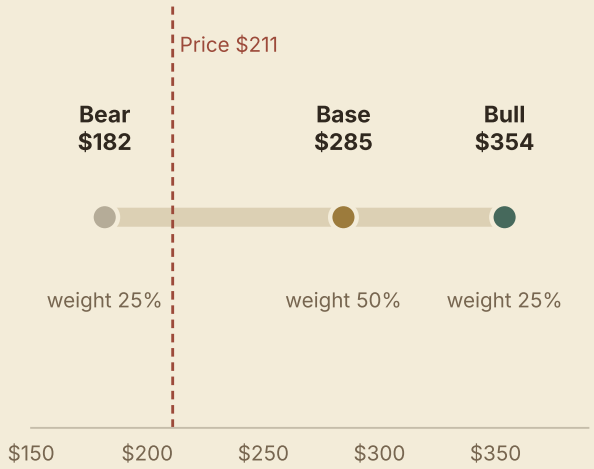
Source: Analyst estimates. FY27 and FY28 are the same in every scenario.

Exhibit 32 What moves the 12-month value most, one input at a time



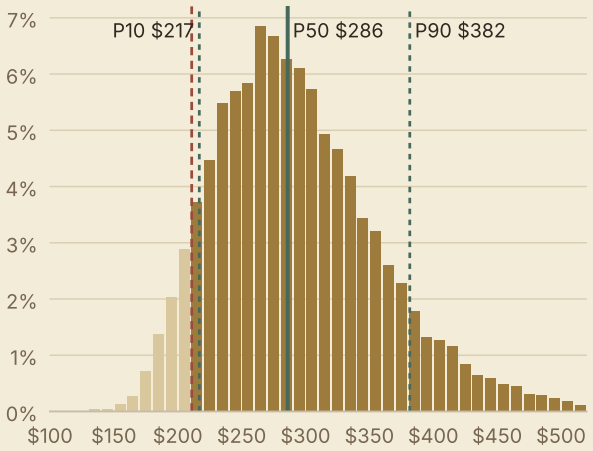
Source: Analyst estimates. Each bar changes one input across the range shown with all others at base. Green raises value, red lowers it.

Exhibit 33 Scenario values per share



Source: Analyst estimates. Probability-weighted value $276.

Exhibit 34 Distribution of 12-month value, 10,000 simulations



Source: Analyst estimates. Bars left of the dashed line are below today's price.

How we built the simulation

Each run draws beta from a normal distribution around 1.81x with a standard deviation of 0.20, the equity risk premium around 3.7% (0.5pp), perpetual growth between 2% and 4%, FY29 to FY31 growth at 1.0x our path (0.25x spread), the FY31 margin within about 3pp, the fade margin step between 1.0pp and 2.0pp, and the return on new capital between 30% and 80%.

What it shows

The median value is $286, the 10th percentile $217 and the 90th $382. 92% of runs end above today's price and 77% clear the 15% BUY threshold. The distribution is skewed to the upside because value rises faster as the discount rate falls than it drops as the rate rises.

12 SENSITIVITY

The BUY case holds across most discount-rate and growth combinations

Exhibit 35 12-month value by WACC and perpetual growth, USD

WACC \ Perpetual growth	2.0%	2.5%	3.0%	3.5%	4.0%
10.67%	297	308	320	334	350
11.17%	281	291	301	313	326
11.67%	267	276	**285**	295	306
12.17%	255	262	270	278	288
12.67%	243	250	256	264	272

Source: Analyst estimates. Green cells clear the 15% BUY threshold of about $242. The grids isolate valuation mechanics and are not probability statements.

Exhibit 36 12-month value by beta and FY29 to FY31 growth, USD

Equity beta \ FY29 to FY31 growth versus base	0.6x	0.8x	1.0x	1.2x	1.4x
1.50x	248	285	326	373	425
1.81x	218	249	**285**	324	368
2.00x	203	232	265	301	341
2.22x	189	215	245	278	314
2.50x	173	197	223	253	285

Source: Analyst estimates. Growth shown as a multiple of our base path.

Discount rate and growth

Around the base case, 50bp of WACC moves value by $15 to $17 and 50bp of growth by $9 to $10. Every cell clears the BUY threshold, the weakest ($243) only just.

Beta and growth together

This grid matters most. With the raw 2.22x beta the stock is a BUY only if our growth path is delivered. Raw beta plus 20% lower FY29 to FY31 growth gives $215, close to today's price.

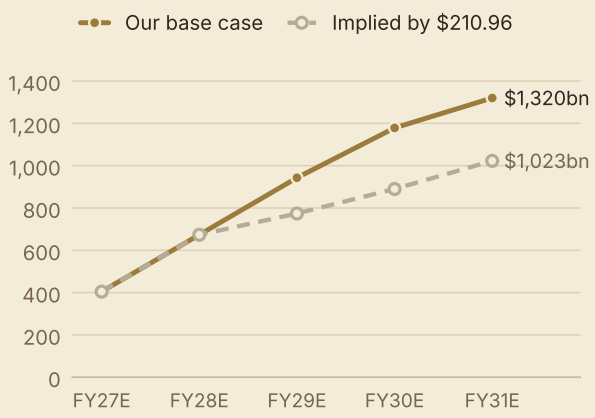
13 REVERSE DCF

The share price assumes FY29 to FY31 growth of 15% a year, not 25%

We solve for one input at a time, holding the rest at our base case, to find what the $210.96 price requires. This translates the price into operating terms. It does not tell us what investors actually expect.

13.5%	14.9%	$1,023bn	-10.7pp
Price-implied WACC	**Implied FY29 to FY31 growth**	**Implied FY31 revenue**	**Implied FY31 margin change**
Base 11.67%, beta 2.31x	Base 25.1% a year	Base $1,320bn	Against base EBIT margin

Exhibit 37 Revenue path, USD bn



Source: Analyst estimates. Implied path holds FY28 at management's 70% expectation.

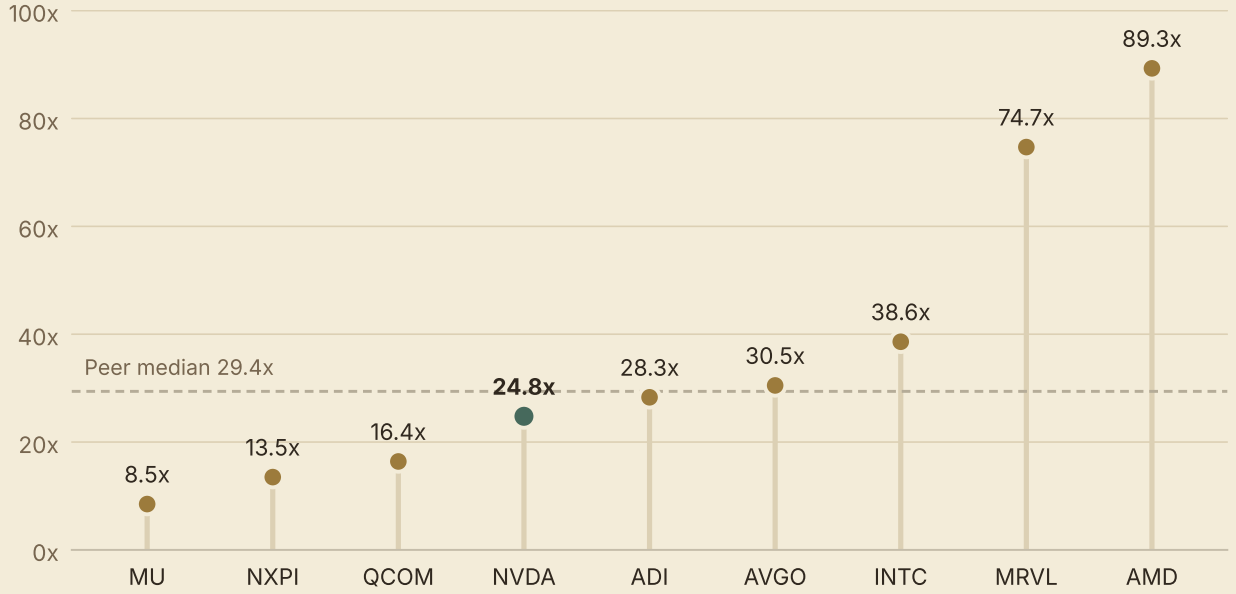
Our read

To justify today's price at our base WACC, revenue growth would have to average 14.9% over FY29 to FY31, well below our 25.1%, leaving FY31 revenue about $297bn short of our forecast. Alternatively, the FY31 EBIT margin would need to be about 11pp lower. Either is possible if AI spending stalls well before FY29. Customer guidance today covers only the next twelve months, so it cannot rule that out.

14 TRADING COMPARABLES

Peer multiples are a cross-check, not the basis of our target

Exhibit 38 EV to trailing twelve-month EBITDA, x



Source: Company filings, Yahoo Finance, analyst calculations. Closes 23 October 2026. Reported EBIT plus D&A, unadjusted. TTM periods end between 27 June and 3 September 2026. NVDA in green, excluded from the median.

29.4x	24.8x	$249.52
Peer median	**NVDA at $210.96**	**Value at the peer median**
Range 8.5x to 89.3x	TTM EBITDA $201.3bn	Current basis, no target weight

What the peers tell us

NVIDIA trades below the peer median on trailing EBITDA. Applying the 29.4x median to its trailing EBITDA of $201.3bn gives $249.52 per share today. We give this no weight in the target because the peer set mixes memory, analog, CPU and custom-silicon businesses at very different points in their cycles, and one-off items affect NXP and Marvell.

Data note. A recheck against primary filings puts AVGO trailing EBITDA near $51.6bn and AMD near $9.5bn including acquired-intangible amortisation. The median moves by less than 0.1x.

Exhibit 39 Peer data, USD bn

Ticker	TTM period end	Enterprise value	TTM EBITDA	EV/EBITDA (x)
MU	3 Sep 2026	924.2	108.8	8.5
NXPI	28 Jun 2026	67.4	5.0	13.5
QCOM	28 Jun 2026	192.9	11.8	16.4
ADI	1 Aug 2026	195.3	6.9	28.3
AVGO	2 Aug 2026	1,571.1	51.4	30.5
INTC	27 Jun 2026	475.0	12.3	38.6
MRVL	1 Aug 2026	201.4	2.7	74.7
AMD	27 Jun 2026	833.5	9.3	89.3
Peer median				**29.4**
NVDA at $210.96	26 Jul 2026	4,986.6	201.3	24.8

Source: Company filings, Yahoo Finance, analyst calculations. Enterprise value at 23 October 2026 closes.

15 CATALYSTS

Near-term results will test the forecast

Exhibit 40 Catalyst timeline

17 Nov 2026 — Q3 FY27 results
Evidence. Revenue against $108bn plus or minus 2%, gross margin against 74% plus or minus 50bp, cash conversion.
Consequence. Revises FY27 earnings and the liquidity bridge.

31 Jan 2027 — Q4 FY27 quarter end
Evidence. Revenue conversion over the 14-week quarter.
Consequence. Tests our $118.8bn estimate.

Through FY27 — Supply and investment settlement
Evidence. Inventory, prepaid assets and cash used for investments.
Consequence. Tests the liquidity stress.

As released — Customer capex updates
Evidence. Budgets, cash generation and deployment pace at the large cloud providers.
Consequence. Changes demand durability.

Next 12 months — FY28 growth evidence
Evidence. Progress toward the 70% growth expectation.
Consequence. Moves the earnings base and the whole forecast.

Source: Company earnings calendar and guidance, analyst assessment.

What a beat or miss means. A $5bn change to our Q4 estimate moves FY27 EBIT by about $3.7bn at a 74% gross margin with operating costs unchanged, and barely moves the target. A change to FY28 growth matters far more because it compounds through every later year.

16 INVESTMENT RISKS

Risks concentrate in the duration of growth and in cash returns

1 Customer returns weaken

Effect. Slower capacity purchases and revenue growth.

Watch. Cloud monetisation and budget changes.

2 Platform execution slips

Effect. Delayed sales, higher inventory or receivables.

Watch. Customer acceptance and inventory days.

3 Competition intensifies

Effect. Lower pricing or higher development spend.

Watch. Gross margin and custom-chip deployment.

4 Commitments settle faster

Effect. More cash used before revenue arrives.

Watch. Prepaid assets and cash purchases.

5 Ecosystem assets lose value

Effect. Smaller financial-asset bridge, credit losses.

Watch. Investment marks, SB Energy guarantees.

6 Policy restricts access

Effect. Smaller market, stranded capacity.

Watch. Licensing changes and outlook revisions.

7 Discount rate rises

Effect. Raw beta alone takes the target to $245.

Watch. Rates, equity risk premium, volatility.

+ Upside risks

Effect. China reopening, FY28 growth above 70%.

Watch. Supply easing and licence approvals.

17 APPENDIX

Assumptions, definitions and limitations

Exhibit 41 Reported financial history, fiscal years ending late January

USD bn	FY22	FY23	FY24	FY25	FY26
Revenue	**26.9**	**27.0**	**60.9**	**130.5**	**215.9**
Gross profit	17.5	15.4	44.3	97.9	153.5
Operating expenses	7.4	11.1	11.3	16.4	23.1
Operating income	**10.0**	**4.2**	**33.0**	**81.5**	**130.4**
Net income	9.8	4.4	29.8	72.9	120.1
Diluted EPS, split-adjusted (USD)	0.39	0.17	1.19	2.94	4.90
Operating cash flow	9.1	5.6	28.1	64.1	102.7
Capital expenditure	(1.0)	(1.8)	(1.1)	(3.2)	(6.0)
Free cash flow	**8.1**	**3.8**	**27.0**	**60.9**	**96.7**
Buybacks and dividends	(0.4)	(10.4)	(9.9)	(34.5)	(41.1)
Cash and marketable securities	21.2	13.3	26.0	43.2	62.6
Total debt	10.9	11.0	9.7	8.5	8.5

Source: NVIDIA Form 10-K filings, FY22 to FY26. Free cash flow is operating cash flow less purchases of property, equipment and intangibles.

Definitions. EBITDA is reported operating income plus cash-flow D&A. Unlevered free cash flow is NOPAT plus D&A, less cash capex and operating working capital investment. Stock-based compensation is an expense in the DCF. We use no adjusted-earnings or consensus data.

Exhibit 42 FY27 build

USD bn	H1 FY27A	Q3 FY27E	Q4 FY27E	FY27E
Revenue	**177.8**	**108.0**	**118.8**	**404.6**
Gross margin (%)	75.0	74.0	74.0	74.4
GAAP operating expenses	16.0	9.2	10.0	35.2
EBIT	**117.3**	**70.7**	**77.9**	**265.9**
Basis	Reported	Guidance midpoint	Analyst estimate	Combined

Source: Company reports and Q3 guidance, analyst estimate for Q4. FY27 is a 53-week year and Q4 contains 14 weeks.

Exhibit 43 Base-case assumptions

Area	Base treatment	Classification
Q3 FY27 revenue and margin	$108bn and 74% gross margin	Management guidance
Q4 FY27 revenue	$118.8bn, up 10% sequentially	Analyst estimate
FY28 revenue growth	About 70%, on a 52-week FY27 base	Management expectation
FY29 to FY31 growth	40%, 25% and 12%	Analyst assumption
FY32 to FY36 fade	Growth to 3%, margin down 1.5pp a year	Analyst assumption
Terminal growth and ROIC	3% growth, 50% ROIC	Analyst assumption
Equity beta	Blume-adjusted 1.81x	Analyst judgement
Private investment haircut	25% of estimated carrying value	Analyst judgement
Operating cash reserve	$22.4bn, equal to Q2 cash and equivalents	Analyst assumption
Diluted-equivalent shares	24.195bn today, 23.975bn at target	Analyst estimate
Information cutoff	23 October 2026	Convention

Source: Company guidance, analyst assumptions.

18 SOURCES

Key sources

1 **NVIDIA Form 10-K, fiscal 2026** 25 Feb 2026
sec.gov/Archives/edgar/data/1045810/000104581026000021/nvda-20260125.htm

2 **NVIDIA Form 10-Q, quarter ended 26 July 2026** 26 Aug 2026
sec.gov/Archives/edgar/data/1045810/000104581026000075/nvda-20260726.htm

3 **NVIDIA Q2 FY27 CFO commentary and outlook** 26 Aug 2026
s201.q4cdn.com/141608511/files/doc_financials/2027/Q227/Q2FY27-CFO-Commentary.pdf

4 **NVIDIA Q2 FY27 earnings call transcript** 26 Aug 2026
investor.nvidia.com

5 **US Treasury daily par yield curve** 23 Oct 2026
home.treasury.gov

6 **Damodaran, implied equity risk premium** 1 Oct 2026
pages.stern.nyu.edu/~adamodar

7 **FRED S&P 500 index and historical NVDA closes** 23 Oct 2026
fred.stlouisfed.org/series/SP500, stockanalysis.com/stocks/nvda/history

8 **Customer results: Meta Q3 2026, Alphabet Q2 2026, Microsoft FY26 Q4, Amazon Q2 2026** 22 Jul to 21 Oct 2026
Company investor relations sites

9 **Peer filings for the trading comparables** To 23 Oct 2026
sec.gov EDGAR

10 **Analyst financial model and valuation** 23 Oct 2026
Three-statement model FY20 to FY31 and DCF

19 IMPORTANT INFORMATION

Disclosures

About this report

This is independent analysis prepared from public filings, public market data and the author's own financial model. The author is not affiliated with any broker-dealer, investment bank or asset manager, and the report does not represent the views of any such firm. It is provided for information and education only.

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Analyst certification

The views in this report accurately reflect the author's personal views about the company and its securities. No part of the author's compensation was, is or will be related to the specific views or recommendations in this report.

Rating definitions

BUY: expected 12-month total return above 15%. HOLD: between minus 15% and plus 15%. SELL: below minus 15%. Total return includes the expected dividend.

Rating history

This is our first report on NVIDIA. Rating BUY, price target $285, set on 23 October 2026.

Valuation method and risks to the target

The price target is a discounted cash flow value rolled forward twelve months, using a WACC of 11.67%, a five-year fade to 3% perpetual growth and a 50% terminal return on capital. Risks include slower customer spending, margin pressure from competing accelerators, faster settlement of supply commitments, export restrictions and a higher cost of capital.

Limitations

The share count is a proxy, and the reported balance sheet predates the valuation date by 89 days. Half of enterprise value is terminal value, and beta is estimated with wide error.

Data and estimates

All figures come from the sources listed or from our own calculations, labelled as analyst estimates. Prices are closing prices on 23 October 2026. Information is current to 23 October 2026 and the report was prepared on 25 October 2026. Forecasts are estimates and actual results may differ materially.